Nepal in 1991. The Treaty of Trade was again revised and renewed through an exchange of letter on 3 December 1996. The Treaty of Transit, 1991 came up for renewal in December 1998, and following bilateral talks, a renewed Transit Treaty was signed on 5 January 1999. The Protocol to the India-Nepal Treaty of Trade was renewed with some modifications in February 2002.

In 1992, an understanding was reached between increasing bilateral cooperation and providing duty free and quota free access to Nepalese exports to Indian market. They also reached an agreement to prepare project reports for Karnali, Pancheshwar, Sapta Koshi, Buri Gandaki, Kamala and Bagmati Projects and to install flood fore casting and warning system.

In 1994 however, doubts loomed in the minds of Indian foreign policy makers over the assumption of political power by the first Communist Government in Nepal as they had long opposed the terms of the 1950 Treaty. However, relations by far remained amicable and a number of agreements were signed pertaining to construction of bridges on the Kolhapur Mahakali Sector, Raxaul Sirsya broad gauge rail link, joint survey of East-West Electric Railway and others. India additionally agreed to provide transit facilities for Nepalese goods at Kandla and Mumbai. In February 1996, Nepalese Prime Minister Sher Bahadur Deuba visited India, and this resulted in the signing of Treaty on Integrated Development of Mahakali River. This Treaty was on integrated development of Mahakali basin along with construction of Pancheshwar power project. With the coming of United Front government and introduction of ***Gujral Doctrine*** relations further improved. India unilaterally gave Nepal greater access for Nepal's civil aviation sector, free movement and access to jobs for Nepalese citizens and provision of corridor through the ***Chicken Neck*** to Bangladesh on an experimental basis. The years 1997 and 1998 also witnessed good relations between the two neighbours followed by signing of MoU in civil aviation sector, providing alternate 61 km transit route to Bangladesh, opening of Kakkarbitta-Phulwari-Bangband route on an experimental basis holding of secretary level meeting for review and implementation of Sarada Barrage, Tanakpur Barrage and the Dodhara-Chandani and Tanakpur Mahendragarh road under the Mahakali Treaty. In 1999,